Lecture Notes, Week 10: The Median Voter and Democratic Failures

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Monday, October 19 – Friday, October 23, 2026

What these notes cover: the three Week 10 lectures, from the recordings of both sections (Wednesday's from the 11:45 section only). On Monday, the median voter theorem: two parties competing for votes on one issue both move toward the median voter, whose favorite position beats every other in a two-way vote, so parties that sound alike are a sign of competition. On Wednesday, what the median voter chooses. He earns less than the mean, so he votes for some redistribution; majority rule counts heads, not intensity; and, in Bryan Caplan's account, voters get what they ask for, and what they ask for is often wrong. Then the other road away from good policy: small, organized groups that pull policy away from the median voter. On Friday, how such groups overcome free riding, what they win (regulation that serves the industry), and what they cost. The cost includes rent seeking, the resources people spend to win the transfers the state hands out.

Readings: Required: Bryan Caplan, "The Myth of the Rational Voter: Why Democracies Choose Bad Policies," *Cato Institute Policy Analysis* No. 594 (2007), in the Week 10 folder of the class repository. **Midterm 2 is Monday, October 26**, in class: fifteen multiple-choice questions, then two short essays out of three. It covers Weeks 5 to 10, without Week 9's condominiums, towns and tribes, and without rent seeking (sections 24 to 30 here). The study guide is in the Week 11 folder of the class repository.

Lecture	Topic	Sections
Monday, October 19	The median voter theorem	1–9
Wednesday, October 21	What the median voter chooses; special interests	10–18
Friday, October 23	Interest groups and rent seeking	19–30

Monday, October 19: The median voter theorem

Two stores on one street end up side by side in the middle. Two parties competing for votes on one issue do the same: both move toward the median voter, whose favorite position beats every other in a two-way vote. The theorem needs one issue, single-peaked preferences, two candidates and everyone voting. It explains why candidates run to their base in the primaries and to the middle afterwards. The lecture ended on its first application, redistribution.

1. Why rivals open next door

- McDonald's and Wendy's, two furniture stores, two gas stations, a row of car dealerships: competitors often open right next to each other. Don't they steal each other's customers?
- Harold Hotelling, "Stability in Competition" (1929): customers live evenly along Main Street; two stores sell the same thing at the same price, so each customer walks to the nearer store. Start with store A at one quarter of the street and store B at three quarters. Each serves the half of the street on its side.
- Store A moves toward B. It loses no one behind it, since those customers must still pass A to reach B, and it wins every customer it walks past. B answers by moving next to A, and the two end side by side in the middle, with half the street each. In Hotelling's words, the sellers "crowd together as closely as possible."
- The customers at the ends now walk farther. What sets the stores' location is the median customer, the one with half the customers on each side.

2. From stores to parties

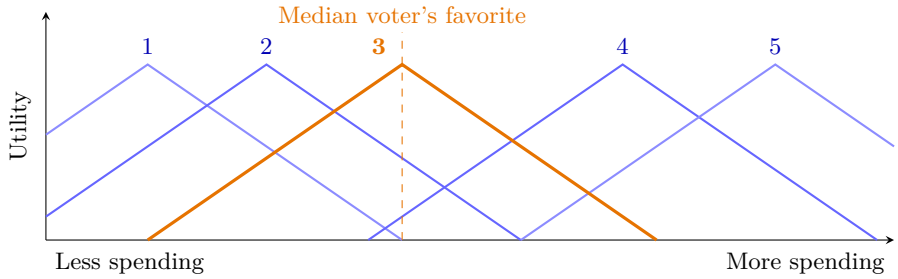
- Behavioral symmetry (Week 8): the same people respond to incentives in markets and in politics. Replace the street with a line of policy positions (left to right, less to more public spending, fewer to more immigrants) and the customers with voters. Each voter supports the candidate whose position is closest to his own.
- Candidates far from the center complain that the big parties are all the same. George Wallace, running for president as a third-party candidate in 1968, said there was "not a dime's worth of difference" between Democrats and Republicans.
- **Convergence**: two parties fighting for the same voters end up sounding alike. That is competition at work. A party with no rival to fear could stay at its own favorite position; sounding alike shows that each side fears losing the voters in the middle.

3. Lunch by majority vote

- Three friends vote on lunch, two options at a time. Their favorite lunches cost $5, $10 and $20, and each votes for the price closer to his own favorite.
- $5 against $10: the $20 friend prefers $10, so $10 wins 2 to 1. $10 against $20: the $5 friend prefers $10, so $10 wins 2 to 1.
- $10 beats every other option. The $10 friend is the median voter: one friend wants a cheaper lunch, one a dearer one. A politician offering a $10 lunch never loses.

4. Single-peaked preferences and the median voter

- **Single-peaked preferences**: each voter has one favorite position on the line and likes options less the farther they sit from it, on either side. Duncan Black (1948, p. 24): "the farther any proposal departed from it on the one side or the other, the less he would favor it." Issues that fit: how much the government spends, how many immigrants to admit, how many dollars of aid to send Ukraine.
- The **median voter** is the voter in the middle, with as many voters on her left as on her right: voter 3 in the figure, who sits left of the middle of the line. Against a proposal to her left, voters 3, 4 and 5 prefer her favorite, 3 votes to 2; against a proposal to her right, voters 1, 2 and 3 do. Black (1948, p. 28): her favorite "can get a simple majority against any other value which can be proposed."



- Add the same number of extreme voters on each side and nothing changes: they still vote for whoever is closest to them, and the voter in the middle still decides (12:50 section).
- Only the median voter gets her favorite. Everyone else votes for the lesser evil, the candidate closer to them (11:45 section).

5. The median voter theorem

- Black (1948) and Anthony Downs, *An Economic Theory of Democracy* (1957): two candidates chasing votes on one issue both move toward the median voter's favorite. Downs (p. 28): "parties formulate policies in order to win elections, rather than win elections in order to formulate policies."
- It takes four conditions:
  - **One issue.** With two, say economic and social questions, a voter can be fiscally conservative and socially liberal or the reverse, there is no single middle, and the parties need not converge.
  - **Single-peaked preferences.** A voter whose first choice is Bernie Sanders, second Donald Trump and last a centrist has two peaks: he likes both ends better than the middle.
  - **Two candidates.** If two candidates sit at the median, they split the vote. A third who moves slightly off the median takes everyone on that side: with five voters, he wins voters 4 and 5, while the other two share voters 1 to 3. In models of *probabilistic voting*, where a voter is only more likely to vote for the closer candidate, convergence comes back.
  - **Everyone votes.**

6. What the theorem explains

- Primaries: the median primary voter is more partisan than the median voter in the general election. Candidates run toward their party's side to win the nomination, then move to the middle. Hence the courting of independents, and campaigns that paint the other side as extreme, far from the median voter.
- Policies that survive a change of party: the tariffs on Chinese goods from Trump's first term were kept by the next administration. The likely reason is that the median voter likes them (11:45 section).
- The median voter is getting older (11:45 section). Retirees are a growing share of voters and vote more often, since their time costs less, so policy caters more and more to them. Florida, with many retired homeowners, is debating

whether to abolish property taxes on homes.

- The center is the voters' center, not what a commentator, or a college classroom, calls centrist. "Radical" here just means far from the median voter. One median voter account of the parties called far right in Europe and the United States: on immigration, the established parties had drifted away from the median voter, which left an opening for political entrepreneurs. A party that stays far from the median voter for too long stops winning.
- The theory is positive: it predicts which platform wins, not whether it is good policy. The median voter can hold wrong beliefs; that is the subject of this week's reading.

7. Why parties do not fully converge

- A candidate who cares about policy, not only about winning, may move away from the median and accept a smaller chance of winning.
- Turnout: a voter far from both parties may stay home (the fiscal conservative who thinks the Republicans spend too much anyway), and so may a voter who sees no difference between them. To bring their own edges to the polls, parties move apart, but not too far, or they lose the middle.
- Evidence (11:45 section): Lee, Moretti and Butler (2004, *Quarterly Journal of Economics*) compare House seats won by a hair by a Democrat with seats won by a hair by a Republican. The districts are nearly identical, yet the winners vote very differently in Congress. Close races pick one of two different policies more than they pull both candidates to the middle.
- "All models are wrong, but some are useful" (George Box). This one makes a few assumptions and explains a lot (11:45 section).

8. Condorcet's cycle and the median voter

- Week 8's example: three voters, three options, and majority rule cycled, so the agenda decided the winner. Under the median voter theorem nothing cycles: the median voter's favorite beats every other option.
- The difference is single peaks. Put Week 8's options on a line: left, center, right. One of the three voters ranks left first, right second and the center last. He has two peaks, like the Sanders-then-Trump voter. When every voter is single-peaked on one line, the median voter's favorite beats every other option and there is no cycle (Black 1948). Majority voting cycles for some sets of rankings, not for all.
- The "horseshoe" view of politics: if opinions sat on a circle, with the far left and the far right next to each other, there would be no voter in the middle and no convergence.

9. The median voter and redistribution

- **Redistribution**: taxing richer people to pay poorer ones, through progressive taxes and social programs. Every Western democracy does it, the United States included.
- The median and the mean differ. In 2025 the median U.S. household had an income of $87,460; the mean was $126,700 (Census Bureau). Incomes have a long right tail: a few very high incomes pull the mean up and leave the middle household where it was. For wealth the gap is larger still, because some people have zero or negative net worth and a few have enormous fortunes.
- People move through the distribution (12:50 section). About 12 percent of Americans spend at least one year in the top 1 percent of incomes between the ages of 25 and 60 (Rank, Hirschl and Foster, *Chasing the American Dream*, 2014).
- The prediction, for Wednesday (12:50 section): tax every income at the same rate and give everyone the same check. The median voter, poorer than the mean, gets back more than he pays, so he votes for some redistribution. And the transfers he votes for should go mostly to the middle class, where most voters are, rather than to the poor.

Wednesday, October 21: What the median voter chooses; special interests

The median voter wins, but what he chooses need not be good. He earns less than the mean, so he votes for some redistribution, limited by the work the tax discourages. Majority rule counts heads, not how much people care, so a town can vote down a bridge worth more than it costs. Caplan goes further: a wrong belief costs a voter nothing in the voting booth, so the median voter asks for policies that hurt him, and competition gives them to him. The lecture ended on the other road away from good policy: special interests.

10. The median voter and redistribution

- **Redistribution**: the government taxes incomes and pays the money back, through progressive taxes and social programs. The median voter theorem explains why every democracy does some of it.
- U.S. incomes have a long right tail: many households in the middle, and a few very high incomes that pull the mean up. So the median income is below the mean (Monday: $87,460 against $126,700 for households in 2025).
- Allan Meltzer and Scott Richard (1981) built the argument. Take five voters, a 50 percent income tax, and the revenue paid back as equal checks to everyone, like the COVID checks.
  - *Equal society*: all five earn $50,000. Each pays $25,000 and gets a $25,000 check back. No one gains, so no one wants the tax.
  - *Unequal society*: incomes of $20,000, $30,000, $40,000, $60,000 and $100,000. The mean is still $50,000, so the check is still $25,000. The median voter earns $40,000: he pays $20,000 and gets $25,000 back, a gain of $5,000. The $60,000 voter loses $5,000; the $100,000 voter pays $50,000 and loses $25,000.
  - The tax passes 3 to 2. Everyone below the mean gains, and the median voter is one of them.
- The majority votes itself the minority's money: a tyranny of the majority, in the words of Week 9's reading (Tocqueville).

11. Taxes discourage work

- Taxes reduce the incentive to work, to take risks and to save, so total income falls. At a 70 percent tax rate an extra class taught in the summer brings in little; at 30 percent it may be worth teaching.
- The median voter weighs both sides. A small tax brings him more in checks than he loses from lower total income; beyond some rate the loss is bigger. He votes for the rate in between, and with single-peaked preferences over the tax rate his choice wins. In the equal society his best rate is zero. The further his income falls below the mean, the higher the rate he wants.
- In the example the tax pays for nothing but the checks. Real taxes also pay for public goods, which can make them worth their cost. Here the result can be inefficient for society and perfectly rational for the median voter, who is after more money.
- Evidence: who votes moves the median voter, and the median voter moves the budget. For a long time poorer people were kept from voting, by property or tax requirements and later by poll taxes and literacy tests. In U.S. states from 1950 to 1988, where poll taxes and literacy tests ended, poorer voters came to the polls and welfare spending rose; other spending did not (Husted and Kenny, *Journal of Political Economy*, 1997).

12. The bridge vote: heads, not intensity

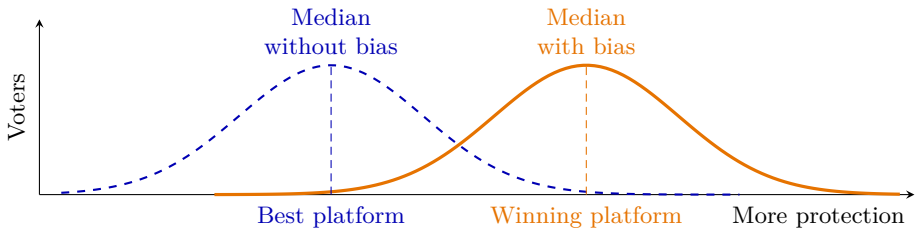
- Even without inequality, the median voter's choice is not magic. Ten residents vote on a footbridge that costs $600. If it is built, each pays the same $60.

	Residents	Value each	Pays each	Votes
Low value	6	$50	$60	No
High value	4	$100	$60	Yes

- The bridge loses 6 to 4. Yet it is worth $700 to the town ($4 \times \$100 + 6 \times \$50$) and costs $600. The four keen residents gain $40 each; the six others lose $10 each. The town is $100 better off with the bridge, and the vote never sees it. The same arithmetic applies to a park, which families with children value more than taxpayers without them.
- Majority rule counts heads, not **intensity**, how much each person cares. A vote is a yes or a no. In a store you choose how much a thing is worth to you: one person will pay $400 for a jacket, another nothing. A market also lets different people buy different goods; a vote imposes one choice on everyone.

13. Caplan: the median voter gets what he wants

- Two views of political failure. In the first, policy moves away from the median voter, as with special interests (section 17). In Caplan's, voters do get what they want, and what they want is often wrong.
- The optimist's reply is the **miracle of aggregation**. Ask everyone in the class to guess the size of the federal budget: each guess may be far off, but the average is likely to be close. If voters' errors are random, those who err one way cancel those who err the other, and the informed few decide. Caplan (p. 3): "It reads like an alchemist's recipe: mix 99 parts folly with 1 part wisdom to get a compound as good as unadulterated wisdom."
- Random errors cancel; **systematic errors** do not. If most voters err in the same direction, say they overrate what tariffs and import quotas (protection) do for them, the whole distribution of preferred policies shifts. The median voter moves, the winning platform moves with him, and no lobby had to pay anyone.



Voters who overrate protection shift the median and the winning platform. Schematic redraw of Caplan (2007), Figures 1–2.

14. Four systematic errors

- Are business profits too high, and is that a reason the economy is not doing better? In a 1996 survey that asked 1,510 Americans and 250 economists the same questions, 46 percent of the public called high profits a major reason, against 4 percent of economists. Caplan's "enlightened public" (his estimate of what an average American would answer with an economics PhD) sits close to the economists.
- Caplan names four biases:
  - **Anti-market bias**: we underrate what markets and profits do for us.
  - **Anti-foreign bias**: we underrate what dealing with foreigners does for us, in trade (protection) and in immigration.
  - **Make-work bias**: we count jobs, not output. Politicians open a public project by announcing the jobs it creates, not the value it adds; the jobs it destroys elsewhere go unseen (Bastiat).
  - **Pessimistic bias**: we think the economy is bad and getting worse, though living standards are far higher than a few generations ago.

15. Why the errors persist: rational irrationality

- A wrong belief about your own life costs you at once: jump from a ten-story building and you learn the first time. A wrong belief about policy costs you nothing in the voting booth, because your vote almost never decides (Week 8). You can vote for something foolish over and over and never pay for it.
- **Rational irrationality**: since a wrong political belief is free, voters keep the belief that feels best. Week 8's rationally ignorant voter knows he does not know, and his errors are random; the rationally irrational voter is sure, and his errors lean one way.
- Competition between parties then delivers the mistake. Caplan (p. 4): "The median voter would be better off if he received less protection than he asked for. But competition impels politicians to heed what voters ask for, not what is best for them."

16. Objections

- Who is biased? Caplan measures the public against economists, but beliefs about policy get little feedback, for economists too: a mechanic learns within a day whether he fixed your car; an economist writing on taxes or poverty rarely pays for being wrong.
- Bias or rational ignorance? Rationally ignorant voters hear the messages that people with a stake in their vote choose to send, such as the ten thousand jobs a project will create. Voters who believe such messages need not be irrational; they have little reason to check.
- Gordon Tullock, one of the founders of public choice, reviewed Caplan's book (*Public Choice*, 2008): "We would predict from these data that democracies would follow outstandingly foolish economic policies. I would not say that the economic policies in democracies are brilliant, but they don't seem to be suicidal so the prediction is

oversimplified. Alternative forms of government are not obviously better. Caplan makes no effort to judge the economic knowledge of dictators. [. . .] I suspect that the average dictator would do as badly as the average voter if given an economic test."

17. The politics of special interest

- The median voter theorem has no room for special interests. A majority can gang up on a minority, as in the redistribution vote, but no small group bends policy its way. In practice small groups do. One example: trial lawyers, who earn fees from car-accident suits, lobbied against the Senate's 2017–18 bill on self-driving cars, which stalled.
- Marx and Engels (*Manifesto of the Communist Party*, 1848): "The history of all hitherto existing society is the history of class struggles." Classes act as wholes, and the immense majority, the proletariat, wins in the end.
- Mancur Olson, *The Logic of Collective Action* (1965): "[U]nless the number of individuals in a group is quite small, or unless there is coercion or some other special device to make individuals act in their common interest, rational, self-interested individuals will not act to achieve their common or group interests."
- **Collective action** is people acting together for a goal they share, such as a strike or a lobby. A **free rider** gets the gain without paying the cost. If I spend time and money changing a policy that helps everyone in my group, the others get the benefit and bear none of the cost. So a shared interest is not enough: a group acts only when acting pays each member more than it costs him.

	Marx and Engels	Olson
Who acts	Classes: bourgeoisie vs. proletariat	Individuals, each deciding whether to join
Why a group acts	Members share a class interest	The costs of collective action are less than the benefits received
Who wins	The immense majority, in the end	Small, organized groups

- Capitalists do not share one interest. A corn grower gains from a tariff on sugar, which raises the demand for corn syrup; Coca-Cola loses, because its drink becomes either worse or dearer. Builders gain when licensing for plumbers is eased; licensed plumbers gain when it is kept tight. Politics divides people by what each policy does to them, not by class.

18. Concentrated benefits, dispersed costs

- **Concentrated benefits, dispersed costs**: a policy gives a lot to each of a few people and takes a little from each of many. The few care and organize; the many barely notice.
- The U.S. sugar program limits imports of sugar through quotas and tariffs. Sugar producers gain $1.4 to $2.7 billion a year, about $100,000 to $190,000 per sugar farm; consumers lose about $3 to $10 per person a year (GAO, 2023). Few people call their member of Congress over $10 a year. A sugar or corn grower follows the farm bill closely, and may hire people to flood a member's office with calls and letters; politicians who want to be reelected avoid angering any organized group.
- Why is Mexican Coca-Cola, sold in American stores, labeled cane sugar, while American Coke uses high-fructose corn syrup? Because of these quotas and tariffs Americans pay about twice the world price for sugar, so corn syrup is the cheaper sweetener here. Corn-growing states in the Midwest, several of them swing states, give the protection more friends. Friday continues with the sugar program.

Friday, October 23: Interest groups and rent seeking

Friday finished the logic of collective action. Small groups with a lot at stake organize; large groups use benefits for members only; the regulation they win often serves the industry it was meant to police; and a stable society piles such groups up and grows more slowly. Then rent seeking: people spend real resources to win the transfers the state hands out. That spending makes privileges costly and hard to remove, and it can pull talent away from producing. Competition among interest groups can also improve policy.

19. Free riders and the size of a group

- Wednesday ended on Mancur Olson: a shared interest is not enough to make a group act. Suppose an economist lobbies Congress to make economics a required class every year from middle school on. Every economist would gain, but he alone pays for the lobbying. Each economist reasons the same way and leaves the work to the others, so the profession lobbies far less than its members' common interest would justify.
- Group size cuts both ways. A very small group carries little weight with politicians. A very large one would carry weight but cannot organize: getting many people to agree on a plan and pay for it is costly, as anyone who has picked a restaurant for twenty friends knows. The groups that move policy are small enough to organize and big enough to matter.
- They do best when the benefits are concentrated and the costs dispersed. If the costs fell on a few people, those few would organize and fight back. Spread across the whole country, they cost each person too little to notice.

20. Concentrated benefits, dispersed costs: sugar and washing machines

- **Sugar.** Import quotas have limited foreign sugar since 1982. In 2025 raw sugar cost 35.9 cents a pound in the United States against 16.9 cents on the world market (World Bank). This is the answer to Wednesday's question about Coke: corn syrup is the cheaper sweetener here, and in 1984 Coca-Cola switched its U.S. bottles and cans to high-fructose corn syrup. The Mexican Coke sold in American stores is labeled cane sugar.
- **Washing machines.** The 2018 tariffs on imported washing machines cost buyers about $1.5 billion a year. The firms announced about 1,800 new jobs, so each job cost consumers about $815,000 a year. Paying those workers to stay home would have cost less. The price of a washer rose about $86, and that of a dryer, which carried no tariff, about $92, because people buy the pair (Flaaen, Hortaçsu and Tintelnot, *American Economic Review*, 2020).
- The jobs are concentrated and visible: the workers who would lose them speak up and appear in the media. The cost is spread over every buyer, who pays a little more and may not even know why. Politicians who want to be reelected listen to the first group.

21. Selective incentives

- **Selective incentive**: a private benefit that only members get, or a penalty only non-members pay. Olson's "special device" lets large groups overcome free riding.
- A union bargains one contract for every worker it covers, members or not. Why pay dues if you get the raise anyway? So unions offer things only members get: legal defense, life insurance, a social life. Penalties work too: under a closed shop, employers may hire only union members.
- The American Medical Association offers doctors malpractice defense and its *Journal*. The Farm Bureau signed up farmers through its insurance and cooperatives.
- Olson's conclusion: the lobby is a by-product of what members join for.

22. Regulatory capture

- George Stigler, "The Theory of Economic Regulation" (1971): "[A]s a rule, regulation is acquired by the industry and is designed and operated primarily for its benefit." Stigler won the Nobel Prize in 1982.
- **Regulatory capture**: a regulation meant to police an industry ends up serving it. One route is the revolving door. Regulators need expertise, so many come from the industry, and many hope to work for it after they leave the agency. A captured regulator protects the firms already in the trade and keeps new ones out. That is the worry in today's debate over regulating artificial intelligence: its regulators would come from the AI firms or go to work for them.
- **Occupational license**: a government permit you must hold to work in a trade. Licensing boards are often run by members of the trade, and a license from one state often does not carry over to another. The share of workers in occupations licensed by the states rose from under 5 percent in the early 1950s to about 25 percent by 2008; in 2024, 21.6 percent of workers said they held a government license. Cosmetologists must train nearly ten times as long as emergency medical technicians: 342 days against 36.

– Capture may not always be harmful. The Federal Reserve Act (1913) gave the banks a large voice in the Fed: member banks own the regional Reserve Banks and elect six of the nine directors of each. Banks lend, and inflation erodes what borrowers owe them, so a central bank that leans toward lenders leans toward stable prices. One run by heavy borrowers would want inflation. The objection raised in class: the Fed also supervises the banks, which could use their influence to keep rivals out. Since the Dodd–Frank Act (2010), the directors who represent banks no longer help choose the presidents of the Reserve Banks.

23. The rise and decline of nations

– Olson, *The Rise and Decline of Nations* (1982), adds time to the logic of collective action. An interest group is hard to start, but once it exists it rarely dies. A stable society therefore piles groups up, and each one fights for a bigger slice rather than a bigger pie: it blocks entry and change, and growth slows.
– Where everything is still to be built, as on the American frontier or in China after it opened to markets, few groups are entrenched and the economy grows fast. Once things are built, owners gain from blocking newcomers.
– Olson's test: dictatorship and then Allied occupation broke up the interest groups of West Germany and Japan, and both grew fast after the war.

24. Rent seeking: the $100 bill

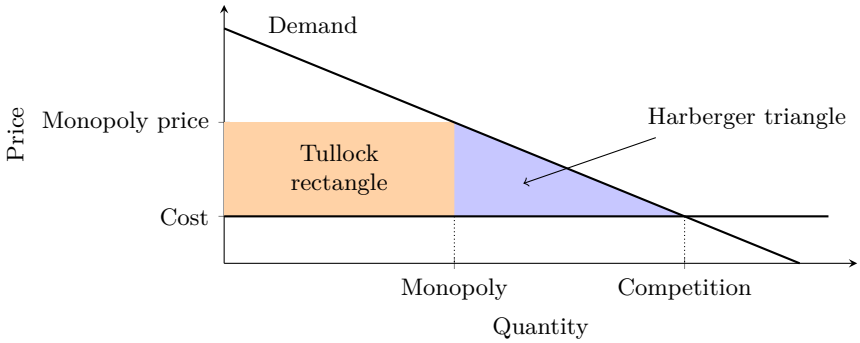
– Auction a $100 bill to whoever bids the most money. The bids climb to about $100: if someone bids $95, another can bid $97 and still gain $3. The money passes from the winner to the seller, a transfer. Nothing is destroyed.
– Now the $100 goes to whoever writes the best essay by Monday. Students bid with their weekends, time that would otherwise have gone to something else they valued. Competition pushes the effort of all contestants together toward the value of the prize, and possibly beyond it. That effort is a real cost: it produces nothing except a decision about who gets the $100.
– **Rent seeking**: spending resources to win a transfer. Applications for scholarships and grants work the same way, as students pointed out. The bigger the prize, the harder the fight: for $100, students might push each other; for $10 million, someone would buy weapons.

25. The taxi medallion and legal plunder

– In 1937 New York's Haas Act capped the number of taxi licenses, the medallions bolted to each yellow cab's hood. Today there are 13,587. The cap kept out drivers who wanted to enter, so a capped cab earned more than cabs would under free entry, and buyers bid that extra income into the price of a medallion: about $1 million at the 2013–14 peak. Then app-based rides took the trips, and prices fell below $200,000 by 2018.
– Frédéric Bastiat called such laws legal plunder. *The Law* (1850): "See whether the law takes from some persons that which belongs to them, to give to others what does not belong to them." A law that takes from Peter to give to Paul invites people to spend their time and energy capturing transfers instead of creating wealth.

26. The Harberger triangle and the Tullock rectangle

– The figure below has demand sloping down and a constant cost of production. Under competition sellers undercut one another until the price equals cost, and everyone who values a unit at more than its cost gets one.
– A monopoly (or a cap like the medallion) restricts output to charge a higher price. The trades that no longer happen are the **Harberger triangle**, or deadweight loss: buyers who value a unit at more than it costs to make, but not at the monopoly price. Arnold Harberger (1954) measured it and found it small.
– The **Tullock rectangle** is the monopoly profit: price minus cost, times the units sold. Textbooks call it a transfer from buyers to the owner. Gordon Tullock (1967) saw it as a prize: people spend to win it and to defend it, by bribing officials, hiring lawyers to keep out competitors, or lobbying the legislature. Competition for a $100,000 rectangle draws up to $100,000 of spending. Tullock: "The problem with income transfers is not that they directly inflict welfare losses, but that they lead people to employ resources in attempting to obtain or prevent such transfers."



Monopoly with a constant cost. Schematic, after Tullock (1967), Figure 1.

27. Rent seeking and profit seeking

- **Rent**: income above what the same land, labor or capital would earn in its next best use, like a sugar grower's gain from the import quota or a medallion owner's from the cap.
- **Profit seeking** makes something buyers choose to pay for: a new product, a lower price. It grows the pie. **Rent seeking** spends resources to win a transfer, through the state or otherwise: it fights over the size of one's slice. An entrepreneur who buys a machine to make a product is seeking profit; one who hires lobbyists to keep out a rival is seeking rent.
- Rent seeking is a cost of any policy that hands out transfers, including the money spent to pass a pro-market policy. Lawyers and lobbyists hired to capture transfers could have been engineers making something.
- It can be large. Anne Krueger (1974) valued the prizes: the rents created by state controls, above all import licenses, came to 7.3 percent of national income in India (1964), and those from import licenses alone to about 15 percent of GNP in Turkey (1968). Firms competed for the licenses with bribes and by building plant that stood idle, since licenses went in proportion to capacity. Competition pushes that spending toward the value of the prize, so her figures show how large the cost of rent seeking can become.
- **The transitional gains trap** (Tullock, 1975; 12:50 section). The first owners of a privilege take the gain: New York's first medallions sold for $10. Later buyers pay the full value of the privilege, so they earn only a normal return on what they paid, yet they lose heavily if it is abolished. A privilege that no longer benefits anyone is therefore hard to remove.

28. The Tullock paradox

- If transfers are prizes, why is so little spent to win them? Federal spending was $7.0 trillion in fiscal 2025 (CBO), and governments at all levels spend more than a third of GDP. Yet reported federal lobbying comes to about $5 billion a year (OpenSecrets: $5.13 billion in 2025). The sugar industry reported $17.3 million of lobbying in 2025 to defend a gain to sugar producers of $1.4 to $2.7 billion a year.
- Three explanations:
  - *Free riding.* One steel producer that pays for lobbying raises its own costs, while its rivals share the gain and may outcompete it. Each firm spends less than the industry's prize would justify.
  - *Few rivals, little spending.* When only two bidders compete for a prize, they can agree, at least tacitly, to lobby just enough to win the policy and share the rest instead of bidding the whole prize away.
  - *Little leverage.* Politicians are harder to sway with money than people think. In 2016 Trump won the presidency while raising less money than Clinton.
- Donations are only one channel, and probably overrated. The promise of a well-paid board seat after a legislator leaves office may sway him more than a gift to his campaign.

29. The allocation of talent

- Kevin Murphy, Andrei Shleifer and Robert Vishny, "The Allocation of Talent" (1991): the ablest people go where talent pays most, into building firms or into rent seeking (government, the army, law, lobbying). Entrepreneurs make new things and the economy grows; rent seekers mostly move existing wealth around. In 91 countries over 1970–85, growth was faster where a larger share of college students studied engineering, and slower where a larger share studied law.
- Multiple equilibria (Murphy, Shleifer and Vishny, 1993). Each rent seeker takes from producers, so producing pays less as rent seekers multiply, until producers fall to subsistence (they switch to crops that cannot be stolen). Rent seeking pays a steady amount at first; once producers are at subsistence, rent seekers split a fixed pie and their

return falls. Two outcomes are stable. In the good one, producing pays more, people leave rent seeking, and no one is left in it. In the bad one, rent seeking pays more, people move into it until the two returns are equal, and the economy is poor. Between them is a tipping point, and a society that crosses it can stay stuck: once many people live off rents, reform is hard. On an exam you will not be asked to draw the graph, only to explain its logic.

– One reading of the model: when the economy is doing well, producing pays and politics looks clean; when it does badly, more people seek transfers from the government, and politics gets worse.

30. Can competition among interest groups improve policy?

– Gary Becker (1983) applies the invisible hand to politics. Taxes and subsidies waste something, so the taxed lose more than the favored gain. The more destructive a policy, the harder the people it hurts fight it, and the less its beneficiaries gain from pushing it. Becker: "Political policies that raise efficiency are more likely to be adopted than policies that lower efficiency."

– An example (12:50 section): caps on credit-card interest rates poll well and have been proposed in Congress again and again (a 10 percent cap was introduced in both chambers in 2025), but none has passed. The card industry lobbies hard against them, and economists expect such caps to cut off credit to riskier borrowers.

– Evidence: in 2010 the Supreme Court's *Citizens United* ruling struck down bans on independent political spending by companies and unions. Bans in 23 states fell with it. In those states, workers' total labor income rose 2 to 3 percent relative to the other states (Akey and coauthors, NBER Working Paper 31481, 2023): better policy, on this reading, not worse.

– Compare with the alternative, not with an ideal (11:45 section). In France, companies may not fund politicians and individual donations are capped. Rent seeking does not disappear: it moves to the bureaucracy and behind closed doors. Individual donors also tend to be more polarized than firms, which dislike radical change. Lobbying in the open lets firms' expertise reach legislators whose voters are rationally ignorant.

– Behind the curtain, a liberal democracy is a contest among organized interests. On Becker's view that contest is a strength: it settles conflicts in the open and tends to weed out the most wasteful policies over time, though not every policy that is lobbied for is efficient.